

Minnesota

GENERAL INFORMATION

1. Minnesota **maintains** a list of eligible surplus lines insurers (see Other Comments section #1).
2. Minnesota **does** have a Surplus Lines Association. (See Other Comments section #6)
3. Minnesota **does not** have an Export List.
4. Minnesota **does not** have an industrial insured exemption but has adopted the NRRRA exempt commercial purchaser exemption.
5. **Surplus lines tax:** 3%, of gross premiums less return premiums (paid to the Minnesota Department of Revenue).
6. **Stamping fee:** .04%, payable to the Minnesota Surplus Lines Association. (see Other Comments section #8).
7. Minnesota **does not** allow the formation of domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

The commissioner may not prohibit a surplus lines broker from placing nonadmitted insurance with, or procuring nonadmitted insurance from, an alien insurer that is included on the Quarterly Listing of Alien Insurers as maintained by the NAIC. Minn. Stat. § 60A.206 (Subd. 3)(d).

If a company wishes to be included on Minnesota's eligibility list, then:

1. **NAIC Quarterly Listing of Alien Insurers.**
2. **NAIC Nonadmitted Insurers Application** (found on the Minnesota DOI website available here mn.gov/commerce website) and must be filed and approved the Minnesota DOI.
3. **Trust Certification:** The U.S. Legal Representative shall certify that the trust required to be maintained under Minn. Stat. §60A.206, Subd. 5 is in existence, that it will not expire from the last calendar year-end for at least five years and has an unencumbered market value of at least \$1,500,000 (see Other Comments section #4), and shall submit copy of trust deed. Trustee shall provide a certified statement of market value. (For requalification: due April 1).
4. **Fees:** \$500 (application fee); \$300 (renewal).
5. **UCA Form 12 Consent to Service of Process.**

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

A surplus lines broker may place insurance with a foreign insurer if:

- The insurer is authorized to place that type of insurance in its domiciliary jurisdiction; and
- The insurer has capital and surplus, or its equivalent under the laws of its domiciliary jurisdiction, the is the greater of the minimum capital and surplus requirements under the laws of this state or \$15 million. Minn. Stat. § 60A.206 (Subd. 3)(b).
- Comply with Minnesota State Statute 60A. Minn. Stat. § 195-60A.209.

The insurance commissioner may waive the minimum capital and surplus requirement for unauthorized foreign insurers if the commissioner makes an affirmative finding of acceptability after considering: quality of management, capital and surplus of a parent company, company underwriting profit and investment trends, market availability, and company record and reputation within the industry. The commissioner may not make a finding of acceptability if the insurer's capital and surplus is under \$4.5 million. Minn. Stat. § 60A.206 (Subd. 3) (b).

If a company wishes to be included on Minnesota's eligibility list, then:

1. **Foreign Surplus Lines Insurers Application** (found on the Minnesota DOI website available here mn.gov/commerce website), which must be filed with and approved by the Minnesota DOI.
2. **Fees:** \$500 (application fee); \$400 (renewal).

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

None.

OTHER COMMENTS OR REQUIREMENTS

1. Minnesota's eligibility list is available at <https://www.sircon.com/ComplianceExpress/Inquiry/consumerInquiry.do?nonSscrb=Y>. No direct link is available to Minnesota's Surplus Lines Eligibility List. Use the link above to connect to the online license lookup tool called 'Sircon.' Select 'Minnesota' in the state dropdown menu, then select 'company' for entity type, 'active company list' for inquiry type and 'surplus lines insurer' for company type.
2. Individual licensees are responsible for making sure that surplus lines insurance is placed only with surplus lines insurers that are in stable and unimpaired financial condition.
3. An insurer recognized as an "eligible" surplus lines insurer by the commissioner is considered to be stable and financially unimpaired.
4. As alien insurers must be included in the NAIC Quarterly Listing, such insurers must maintain NAIC capital and surplus and trust fund requirements, whenever greater than Minnesota Statute.
5. Lloyd's syndicates must be included in the NAIC IID's Listing of Alien Insurers to be considered "eligible."

6. Minnesota surplus lines brokers must register with the Minnesota Surplus Lines Association. Their website is: www.mnsla.com.
7. Each policy, cover note, or instrument evidencing nonadmitted insurance from an eligible surplus lines insurer which is delivered to an insured or representative of an insured must have printed, typed, or stamped in red ink upon its face in not less than 10 point type, the following notice: **“THIS INSURANCE IS ISSUED PURSUANT TO THE MINNESOTA SURPLUS LINES INSURANCE ACT. THE INSURER IS AN ELIGIBLE SURPLUS LINES INSURER BUT IS NOT OTHERWISE LICENSED BY THE STATE OF MINNESOTA. IN CASE OF INSOLVENCY, PAYMENT OF CLAIMS IS NOT GUARANTEED.”**

This notice must not be covered or concealed in any manner.

Minn. Stat. § 60A. 207

(Note: Minn. Stat. § 60A. 209 requires that the above notice be stamped in red ink on policies that are procured with ineligible surplus lines insurers).

8. The Minnesota Surplus Lines Association has stated that that Stamping Fees will be assessed on taxable premium (including broker fees) and not on policy premium.
9. Regarding how surplus lines brokers should calculate gross premiums when a policyholder pays the broker a fee under a policyholder- broker agreement (*e.g.*, a policyholder-broker service agreement) instead of the broker receiving a commission from the insurance company, Minnesota provides that when a broker is paid this kind of a fee, it is reasonable to include in gross premiums the commission the broker “would have collected” from the insurance company. The bulletin then describes acceptable methods for approximating a commission. Additionally, Revenue Notice #20-01 adds additional clarity regarding what amount of a broker fee should be included in gross premiums pursuant to Minnesota Statutes section 297I.01, subdivision 9(d). Revenue Notice #20-01 may be found at: <https://www.revenue.state.mn.us/revenue-notice/20-01-insurance-taxes-nonadmitted-insurance-premium-tax-broker-fees>.

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